

Capstone Project Summary

Name

Stephanie Dues

Project Title

The Architecture of a Healthy Portfolio: Turning Raw Bank Data into Executive Ready Insight

Data Collection Source

This data was collected from the live core system at the community commercial lending institution that I work at. From there, all data was pulled into Excel to be anonymized, cleaned, and standardized for upload into a SQL database for querying and analysis.

Project Summary

The objective of this goal was to complete an analysis of the company data to uncover insights about the profitability, concentrations, fees, and health of the lending portfolio. Through the analysis, it was determined while there was a lot of data pulled from the system to use, there were large gaps of information that would be useful that wasn't pulled, mostly due to coming from different parts of the system that were not taken into account during the data pull. From this, the project was scaled down slightly to accommodate only the data that was accessible.

This project turned into a scorecard of portfolio health based on the data pulled. Looking on an officer basis and metrics determined by the analyst, each portfolio was then provided a grade based on the accounts (both loan and deposit) and how those were doing based on fee and income refunds, balances year over year, non accrual and more. This can be expanded with additional information retrieved from the system, on a branch/regional basis, and even on an overall bank basis.

These findings, once complete with additional data, can provide the executives with a quick snapshot of portfolio health based on metrics and weights they deem appropriate. This analysis can also be altered and scalable in anyway that company deems appropriate.

My next steps would include pulling more data from the system to include additional information that would show positive or negative impacts on portfolios such as loan fee and doc prep fees assessed/collected/waived, deposit fees assessed v waived v paid (it doesn't seem all fees on the deposit fees are trackable using the fields that were pulled from the system. In addition, once all appropriate fields are determined, I would pull the report monthly to begin to look at trends and an overall look at the portfolio, not simply a snapshot in time.